EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

ECONOMICS **6899/02**

Paper 2 **Specimen October/November 2027-2029**

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MARK SCHEME

This document consists of **9** printed pages.

1 (a) (i) State one example of a business organisation in the private sector.

- Sole trader
- Partnership
- Private limited company
- Public limited company
- Cooperatives
- Multinational companies

Any **one** example [1]

(ii) State two factors of production.

- land
- labour
- capital
- enterprise

Any **two** factors identified [2]

(b) Explain two causes of an outward shift of a PPC.

- Increase in quantity and quality of resources (1) this will increase the economy's ability to produce goods and services (1)
- Increase in the labour force (1) an increase in the number of workers will result to more goods and services being produced (1)
- increase in the stock of capital goods (1) more machinery being employed will result to more goods and services being produced (1)
- advances in technology (1) which make production more efficient; more goods can be produced with the same resources (1)
- increase in education and training (1) the better use of skills will make workers produce more goods and services (1)

Any **two** causes explained [4]

(c) Analyse what determines the value of a product's price elasticity of supply.

- Time taken to produce a product (1) maize takes a long time to produce therefore its supply is inelastic (1)
- The cost of altering its supply (1) it is expensive to alter the supply hence its supply is inelastic (1)
- Feasibility of storing the product (1) maize can be stored therefore supply is elastic (1)
- The level of spare capacity in the industry (1) where an industry is operating below capacity and so there are unemployed resources such as free land and spare machinery hence supply is elastic (1)
- Price expectations (1) if price increase is temporary, price elasticity is inelastic (1) but if long term, it will be elastic

Any **three** factors analysed and **one** identified [7]

(d) Discuss whether the private sector should be responsible for allocating resources.

Points for:

- There is innovation (1) because there is an incentive of profit making (1)
- There is improved efficiency (1) because of increased competition which leads to production of good quality products (1)
- There is a wide choice for consumers (1) which increases the standard of living (1)

Points against:

- Failure to consider all costs and benefits (1) only considers private costs and benefits (1)
- No provision of public and merit goods (1) this is because it does not exclude non rivals (1)
- It may exploit consumers (1) by charging high prices (1)
- overproduction of demerit goods (1) because they are profit-oriented (1)

1 points for: discussed (2)

1 point against: discussed (2)

Reasoned conclusion (2) [6]

2 **(a) State three influences on consumer spending.**

- Disposable income
- Wealth
- Confidence
- Rate of interest
- Social attitudes

Any **three** stated [3]

(b) Describe two advantages of capital-intensive production

- reduces human error (1) because it is more accurate production (1)
- Greater speed (1) this improves efficiency (1)
- No problem with labour shortages (1) as more machinery is used compared to labour (1)

Any **two** described [4]

(c) Analyse why small firms may want to expand.

- To fight competition (1) as a firm expands it gains more market share (1)
- Spreads risks (1) larger firms are able to diversify (1)
- Technical economies (1) able to use advanced technology
- Buying economies (1) firms are able to buy in bulk and receive discounts (1)
- Financial economies (1) banks tend to be willing to lend large firms (1)
- To increase profits (1) large firms are likely to earn higher profits (1)

Any **three** points well analysed and **one** identified [7]

(d) Discuss whether it is advisable for economies to promote perfect competition.

Points for

- Chances of consumer exploitation is very low (1) because sellers cannot influence the price of products or charge higher than normal price (1)
- Consumers will get standardised products irrespective of the place of purchase of products (1) then consumers do not worry about quality of products because products will remain the same irrespective of place of purchase (1)
- It is consumer oriented (1) sellers cannot displease the consumers because they can quickly shift from one seller to another. (1)
- Very little or no advertising expense (1) because products are homogenous and if the firm keeps the price as decided by market forces then sales will automatically happen without the company incurring huge publicity and advertising expense (1)
- Very little barriers to entry and exit (1) puts pressure on firms to perform at their best (1)

Points against

- No incentive for sellers to innovate or add more features to the product (1) therefore lack of new and improved products in the economy (1)
- Very little barriers to entry and exit (1) creates instability in the labour markets and utilisation of resources (1)
- Location plays its part rather than customer service (1) a firm which has the best location is likely to generate more sales than a firm which is not located on prime location (1)
- Creates external costs (1) resource use is massive and irregular wear of resources leads to problems (1)
- Reduced chance of lower costs (1) through economies of scale (1)

1 points for: discussed (2)

1 point against: discussed (2)

Reasoned conclusion (2)

[6]

3 (a) (i) Explain what is meant by living standards.

It is the level of material comfort that is available to an individual or group (1) as measured by the goods, services and luxuries (1) [2]

(ii) Define taxation.

A compulsory transfer of money (1) from private individuals, groups and institutions to the government (1) [2]

(b) Explain what is meant by the following economic terms:

(i) The Boom phase in the economic cycle.

It is when an economy is working at full or near-full capacity (1) with strong consumer demand, (1) low rate of unemployment (1) and a rising stock market (1) usually accompanied by rapidly increasing consumer prices (inflation) (1) [2]

(ii) Cyclical unemployment

It is the type of unemployment which arises due to inadequate aggregate demand (1) in the downturn of the economic cycle (1) [2]

(c) Analyse why real Gross Domestic Product per head as an indicator of living standards may not necessarily be the best indicator in an economy.

- Real GDP is an average (1) hence not everyone may benefit from a rise in the average income level (1)
- Higher output will obviously mean that more goods and services are being produced but not all of these may add to people's living standards (1) such as an increase in the output of tobacco may actually reduce the quality of people's lives by affecting their health (1)
- increases in real GDP per head figures may understate the products available to people (1) due to undeclared economic activity and non-marketed output (1)
- Living standards are also influenced by other factors besides material goods and services (1) if output increases but working conditions deteriorate, people may not feel better off (1)

Any **three** points analysed [6]

(d) Discuss whether public corporations are beneficial to an economy?

Points for:

- They can be used to influence economic activity (1) to boost the country's output, public corporations can be directly encouraged to increase their output (1)
- Cannot abuse its market power (1) in cases where it is practical to have only one firm in the industry (1)
- They base their decisions on the full costs and benefits involved (1) this involves measuring all the private costs and benefits involved (1)

Points against:

- They can be difficult to manage and control (1) the large size of the organisations may mean that time has to be spent on meetings and communicating with staff, slowing down decision making (1)
- They may be inefficient (1) by producing low quality products due to lack of competition (1)
- They will need to be subsidised if they are loss making (1) the use of tax revenue to support them has an opportunity cost (1)

1 points for: discussed (2)

1 point against: discussed (2)

Reasoned conclusion (2) [6]

4 **(a) (i) State the type of poverty where two groups of people in a society are compared to determine their state of poverty.**

Relative poverty [1]

(ii) Explain what is meant by absolute advantage in international trade.

It is when a country can produce a product (1) using fewer resources than other Countries (1) [2]

(b) Explain two policies that can be used to alleviate poverty.

- improving quality and quantity of education (1) this increase job prospects and earning potential of the poor and their children
- increasing aggregate demand (1) to increase employment by increasing government expenditure or by reducing the rate of interest
- introducing or raising a national minimum wage (1) to tackle the problem of people experiencing low living standards due to low wages
- Encouraging more MNC's to set up in a country (1), this will create more employment opportunities (1)
- Providing state benefits(1), this includes unemployment benefits in the form of elderly grants and disability grants so that these people may afford basic necessities (1)

Any **two** policies explained [4]

(c) Analyse why countries still use trade protectionism.

- protection of infant industries (1) to enable them to grow (1)
- raising employment and improving the trade position (1) reducing imports can enable domestic firms to expand and take on more workers (1)
- to prevent dumping (1) this occurs when one country floods the market in another country with a product at a price far less than it costs to produce in order to force rival firms in that country out of business (1)
- to protect declining industries (1) this is done to avoid a significant rise in unemployment (1)
- protection of local industries from unfair competition (1). The foreign industries may be benefiting from economies of scale thus produce at lower average cost, therefore may charge lower prices for their products (1)

Any **three** points analysed and **one** identified [7]

(d) Discuss whether the Kingdom of Eswatini should continue being a member of the Southern African Customs Union (SACU)? Justify your answer.

Points for:

- There are benefits from tariff revenue (1) obtained from duty paid by non-member countries (1)
- Textile sector quota and duty-free preferences (1) for most but not all exports e. g. textile products, sugar and rice
- Trade between members is free (1) this makes trade easy between member countries increasing variety of products (1) or easy access to raw materials (1)
- Leads to economic integration (1) as it is an important step towards the creation of a single market (1)

Points against:

- The revenue-sharing formula might not be fair for other members (1) and those benefiting might make it difficult to reach a compromise (1)
- A country cannot give preferential tariffs to a declining industry (1) if Eswatini's sugar industry was having difficulty the country cannot have special duty to prevent imports of that product thus boost domestic production (1)
- A country cannot negotiate separate deals (1) because there is a common external tariff. (1) this reduces economic and national sovereignty (1)

1 points for: discussed (2)

1 point against: discussed (2)

Reasoned conclusion (2) [6]